

NEW BUSINESS PERFORMANCE

VONB, ANP and Margin by Segment

	2019			2018			VONB Change	
US\$ millions, unless otherwise stated	VONB	VONB Margin	ANP	VONB	VONB Margin	ANP	YoY CER	YoY AER
Hong Kong	1,621	66.1%	2,393	1,712	62.0%	2,697	(5)%	(5)%
Thailand	494	67.7%	729	447	73.1%	611	6%	11%
Singapore	352	65.5%	538	357	65.4%	547	–	(1)%
Malaysia	258	63.1%	406	247	63.8%	382	7%	4%
Mainland China	1,167	93.5%	1,248	965	90.5%	1,067	27%	21%
Other Markets ⁽¹⁾	535	41.9%	1,271	435	35.8%	1,206	27%	23%
Subtotal	4,427	66.6%	6,585	4,163	63.2%	6,510	8%	6%
Adjustment to reflect consolidated reserving and capital requirements	(87)	n/m	n/m	(56)	n/m	n/m	n/m	n/m
After-tax value of unallocated Group Office expenses	(154)	n/m	n/m	(152)	n/m	n/m	n/m	n/m
Total before non-controlling interests	4,186	62.9%	6,585	3,955	60.0%	6,510	7%	6%
Non-controlling interests ⁽¹⁾	(32)	n/m	n/m	–	n/m	n/m	n/m	n/m
Total	4,154	62.9%	6,585	3,955	60.0%	6,510	6%	5%

Note:

(1) In 2019, ANP and VONB for Other Markets include 49 per cent of the results from Tata AIA Life Insurance Company Limited (Tata AIA Life) to reflect our shareholding. The contribution to ANP and VONB amount to US\$182 million and US\$38 million respectively. The total reported VONB for the Group in 2019 excludes the VONB attributable to non-controlling interests of US\$32 million. For 2018, neither ANP nor VONB have been restated and they do not include any contribution from Tata AIA Life or deduct the amount attributable to non-controlling interests. As disclosed in our Annual Report 2018, the VONB attributable to non-controlling interests for 2018 is US\$27 million.

VONB grew by 6 per cent to US\$4,154 million in 2019 as very strong growth in Mainland China and Other Markets was largely offset by a 5 per cent decline in Hong Kong where the social unrest in the second half of 2019 drove a substantial decline in the Mainland Chinese visitor customer segment.

ANP increased by 2 per cent to US\$6,585 million and VONB margin increased by 3.0 pps to 62.9 per cent. PVNBP margin increased to 11 per cent from 10 per cent in 2018. Despite the lower interest rate environment in the second half of 2019, both VONB margin and PVNBP margin improved in 2019, supported by the enhanced profitability in our long-term savings and protection products in Hong Kong and the positive effect of a tax rule change that increased the tax deductibility of commissions in Mainland China.

Agency distribution accounted for 74 per cent of the Group's total VONB. The consistent execution of our Premier Agency strategy helped generate 11 per cent VONB growth to US\$3,243 million and a 5 per cent increase in the number of active agents. Partnership distribution VONB reduced by 1 per cent to US\$1,142 million. Strong growth from our bancassurance channel was offset by the significant decline in new business from the Hong Kong retail IFA channel in the second half of 2019, reflecting the reduction in visitor arrivals and increased competition.